

THE PULSE

The Scoop #14: The Crypto Bust

Crisis at Coinbase and across crypto exchanges. Why are many exchanges making layoffs, and are there any takeaways for other startups?



GERGELY OROSZ

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***The Scoop** is a bonus series, covering patterns and trends I observe and hear about within Big Tech and at high-growth startups. Have scoop to share? [Send me a message!](#)*

- **Agile rollout at Twitter.** One of Twitter's organizations is rolling out Agile (with a capital A). This rollout is causing worry and some pushback from engineering managers and software engineers. I weigh in, as I've seen the exact same thing play out several times – and also how it ended up working. Will it be different this time?
- **Crisis at Coinbase.** In just one month, the company went from reassuring potential candidates that they were fully prepared for a volatile market to full capitulation. Following all offers being rescinded, the company laid off almost as many people as they hired in Q2 2022.
- **The Crypto bust.** It's not just Coinbase. The "crypto winter" is hitting crypto startups heavily.
- **Layoffs roundup.** Layoffs are not slowing down. The pattern of which companies are the ones letting people go, is becoming more clear.
- **A strategy to attract more candidates.** Not surprisingly and a little ironically, it's related to stating your company is not at risk of making layoffs.

Agile rollout at Twitter

In [How Big Tech runs tech projects and the curious absence of Scrum](#) I share how most large tech companies are moving away from Scrum and Agile. I write:

"When talking to engineers at Facebook, Whatsapp, Google, Netflix and similar organizations, most of them have never used Scrum. Why? It's because of a few things:

Competent, autonomous people need less structure to produce reliable, high-quality output. Big Tech is able to attract, afford and hire these people.

Leveraging competent teams comes through giving them freedom to choose how to operate. This is true for most types of engineering, and there's good reason why the Skunk Works model of autonomy with reduced bureaucracy, is what many high-performing teams with high-caliber people end up following.

Scaling an engineering organization goes well beyond team-level processes, which is another reason most of Big Tech does not push heavyweight team processes. This is not to say these organizations don't have challenges with productivity, but most of these challenges are not ones that a heavyweight process would solve."

"The Twitter Way" was an initiative, back around 2012. It was an effort to promote more Agile practices, with the goal of achieving better engineering efficiency. This approach was not too dissimilar to how Skype rolled out Scrum across the whole organization simultaneously, for example. Twitter brought in Agile consultants and coaches for teams to use as a resource and offered training as an optional extra. Although nothing was mandated back then, many teams at Twitter settled on two-week sprints, storypoint estimation and burndown charts.

Years later, some of these approaches are still present at how engineering teams at Twitter work. Most teams operate like this:

- **Level of effort:** all teams are expected to use the same metric for estimations called "level of effort."
- **Nothing else mandated.** Some teams use sprints to work, some follow Kanban. Some teams do regular retrospectives, some don't.

- **Typical way of shipping projects** is writing up a one-pager outlining the work, then getting buy-in during the planning, then build it and then ship it. For team-level projects, [engineers lead these projects](#). For more complex projects, [TPMs](#) help out.

The Revenue organization at Twitter is starting to roll out a much more strict Agile implementation. This rollout is happening across the Revenue engineering organization - also referred to as "Goldbird" internally - and is an organization with a few hundred tech folks.

The organization has hired Agile consultants and sent engineers and engineering managers to training. The mandate coming from the top is that all teams will work according to these rules:

- Every team needs to work in sprints.
- Sprints start on Tuesdays, and end Mondays.
- Coordinated start. All teams need to start sprints on the same Tuesday, to be in sync.
- Sprint length can be 2 weeks or 4 weeks; the teams have the choice.
- Teams need to do at least 3 standups per week.
- Sprint items need to be estimated in a uniform way, using "level of effort" as units.
- JIRA. All teams need to use this tool for their planning and tracking of tasks.
- Dashboard visible for leadership. These dashboards need to show things like burndown charts for leadership to view.

The upside for upper management is clear: they expect to get more transparency on what is happening, and more ability to "debug" and adjust when things are not going as expected. This was an explicit goal when Skype rolled out Scrum across the company with about 1,000 engineers. As I write in [How Big Tech runs tech projects and the curious absence of Scrum](#):

"Unified reporting and drilling down to team-level priorities was one of the benefits Skype's leadership also saw with the move to Scrum. Chris Matts, who was an agile

coach at Skype at the time, [shares](#) how they implemented a Strawberry-Jam-O-Meter and a Wrong-Order-O-Meter, which would have been difficult to do, had not all teams used Scrum and JIRA:

"The Strawberry-Jam-O-Meter was used to identify teams that had the most backlog items in progress. Inspired by Jerry Weinberg's "Law of Strawberry Jam". The Wrong-Order-O-Meter was used to identify teams that were working on items in the wrong order, according to the organization-wide backlog that the product owner organization had specified."

Right now, engineering managers and engineers in Twitter's Revenue org are unhappy with the top-down directive. I talked with several current managers and engineers, and they all shared frustration on how this effort is being rolled out. Managers complain they are being told by consultants how to run their teams, and are losing autonomy in how their teams operate. Engineers also mention lack of autonomy, and more red tape that neither they nor their managers can control..

The directive comes from the top and managers I've talked with all feel the goal is micromanagement. This is also the biggest fear: micromanagement and empowered teams do not go hand-in-hand.

Among Twitter employees working in the Revenue org, the reaction to what is happening is two-fold:

- A smaller group I talked with is actively trying to talk sense into leadership, educating them on why such micromanagement will have a poor effect on motivation and ultimately output.
- The larger group are rolling their eyes and deciding to go along with a process theatre. Some of these people have worked at places that mandated similar approaches which resulted in more bureaucracy, but no meaningful change in output. They expect this time to be no different.

My take is that heavyweight approaches can help teams that are not empowered to level up. However, for empowered teams with capable software engineers, adding processes that result in them feeling that they are micromanaged is more likely to

reduce the actual business output, than to increase it. Make sure you measure the right thing: for example, not just story points shipped, but business results delivered.

The Agile experiment at Twitter's Revenue organization will be an interesting one to follow. There's plenty of context that we might all be missing - and even people on the ground, in this organization. There's no one way to run a team, and mixing things up, and experimenting with different approaches is a smart thing to do.

Just make sure you bring the whole team with you when you do so.

Crisis at Coinbase

In less than one month, Coinbase has gone from being confident it would sail through the current volatility in the crypto markets, to laying off 18% of staff.

On Tuesday, 17 May, the company [posted](#) an update on its hiring plans, sharing that hiring was being slowed down. The company wrote:

"To ensure we're best positioned to succeed during and after the current market downturn, we're announcing we're slowing hiring so we can reprioritize our hiring needs against our highest-priority business goals."

The company reassured all future employees with outstanding offers that those offers were safe. A few days after the public announcement of slowing down hiring, the company felt it important enough to once again fully reassure candidates with offers that those offers are valid, and would not be withdrawn. I shared in [The Scoop #13](#), this email (underlining was present in the original email; bolding mine):

"Hi Future Coinbase Employees! 🙌

You may have seen this week that Coinbase posted an external blog post announcing our intentions to slow hiring so that we can reprioritize our hiring needs against our highest-priority business goals.

First and foremost, I wanted to communicate that we are still extremely excited about having you join Coinbase and we will not be rescinding the offers of any

employees who have already signed or have received an offer from us.

We plan for market volatility, have a strong balance sheet (ending Q1 with \$6.1B in cash and equivalents), **and have a decade of experience in managing volatility in crypto**.

For some of you, we have already set up time to speak further but for those who haven't reached out, I wanted to proactively share this information with you and I'm here if you need to talk! Feel free to reach out if you have any further questions and we can't wait to welcome you to Coinbase soon 🚀 "

Two weeks later, the company withdrew all outstanding offers. On Thursday, 2nd of June, the company notified about 300 future employees that their offers were void, and that they would receive severance as part of this process. In [The Scoop #13](#), I dug into why the company rescinded offers, and concluded they must be very close to making layoffs:

"Why did Coinbase have to rescind offers? It's likely because they are very close to having to do layoffs. Rescinding offers is bad: but it's not quite as bad as laying off serving employees. I've now updated the article [Preparing for Layoffs](#), adding the rescinding of offers as one of the final things a company can do before executing layoffs."

And the financials did not look good for Coinbase at all. Although the company had a healthy war chest of around \$6B, it lost \$500M in Q1 of 2022, generating revenues of about \$1B on top of expenses of about \$1.5B. Even worse, Q2 2022 is likely to see even less revenue for the company, as crypto volume is dropping amid a wider steep fall on the crypto market.

The operational costs of Coinbase are unusually high, they added up to about \$1.5B in the first quarter of 2022. The company had grown from around 1,200 employees in early 2021, to close to 5,000 just a year later, meaning much of these costs were related to employees. With its core market – crypto trading – nosediving, surely the company would need to make painful cuts to avoid running out of money in just a few quarters.

Employees started a petition to remove senior leadership on Thursday, 9th June.

This petition – which was removed within hours – [read](#):

"We the employees at Coinbase believe that the executive team has recently been making decisions that are not in the best interests of the Company, its employees, and its shareholders. COO Emilie Choi, CPO Surojit Chatterjee, and Chief People Officer LJ Brock have been the most prominent executives who have been executing plans and ideas that have led to questionable results and negative value. (...)

"Because of these factors, we believe that Coinbase should immediately find replacements for LJ Brock, Surojit Chatterjee, and Emilie Choi. We hope to find people who have had experience in the crypto space and can run such a company more responsibly."

I normally don't report on a petition that is removed within hours of going live. However, what makes this one newsworthy is the founder and CEO of Coinbase, Brian Armstrong publicly responded to it just a day later, thereby giving it credibility. His response read as quite emotional. On Twitter, [he wrote](#) (emphasis mine).

"This is really dumb on multiple levels (...) if you have no confidence in the execs or CEO of a company then why are you working at that company? Quit and find a company to work at that you believe in! (...)

Posting this publicly is also deeply unethical because it harms your fellow co-workers, along with shareholders and customers. It's also dumb because if you get caught you will be fired, and it's just not an effective way to get what you claim to want. Be aware of our own psychology - in any down market, people want to start pointing fingers and find someone to blame. This is not just in companies btw - countries see increased polarization when things are down.

Anyway - 99.9% of the company has important work to do, so if you can stop distracting us that'd be great and we will get back to work building cool stuff!"

It turned out that the statement of "99.9% of the company" having important work to do was not true for long: soon nearly 20% of people had no further work to do there.

On Tuesday, 14th June, Coinbase swiftly laid off ~1,100 employees, about 18% of its workforce. The layoff was executed with brutal efficiency, as I confirmed by talking with current – and now former – Coinbase employees.

On Tuesday morning in the US, several employees had trouble logging on to their computer. They opened Slack on their work phones, where they were logged in, and went to the #ask-it Slack channel, seeking support. This is when it became apparent something was wrong.

There were hundreds of people sharing that they had trouble logging in, but none of them received any assistance from IT. Instead, they were told to wait, as news was coming soon.

Employees soon learned that Coinbase had laid them off, and that they should expect to get an email to their personal account. For those laid off, Slack was deactivated within an hour.

The Crypto bust

I am touching on the crypto sector in more depth in this issue because this segment was less impacted by the market downturn, and there have been fewer layoffs amongst crypto startups – until now, that is. The crypto market has had a terrible month, one that is heavily impacting many startups in the space.

An algorithmic stablecoin crash made large waves that reached several crypto startups. An algorithmic stablecoin called terraUSD, which was supposed to always be pegged to be worth \$1 crashed to zero in early May, taking down the Luna token with it, and erasing about \$40B of value. Plenty of investors in Luna made handsome profits beforehand, for example, Pantera Capital, a hedge fund investing \$1.7M into the project cashed out at \$170M, the New York Times [reported](#). In the end, it was other investors who ended up holding the bag.

TerraUSD operated on top of the Anchor protocol, which was a mechanism promising up to 19.5% interest for deposits. Given such a high interest rate paid, a wide range of investors from everyday retail investors to corporates, deposited funds to get this

unusually high interest. Unfortunately for these investors, they never asked the question of how can any mechanism guarantee such high rates, except by paying these rates from new entrants? terraUSD did exactly this, making it most likely a [Ponzi scheme](#).

When terraUSD crashed, all funds held in the Anchor protocol were also gone.

A Y Combinator startup investing on top of Anchor protocol went bust and is now being sued for misleading investors. Y Combinator funded Stablegains operated a savings account promising up to 15% interest. They collected \$44M in customer funds, which customers assumed were being used in a reasonable way, and expected to see a 15% return, as promised.

Turns out that all the startup was doing was depositing all these savings into the Anchor protocol which was supposed to yield 19.5%, taking a 4.5% cut, then paying out the rest to the accounts. However, the company did not disclose they were using Anchor. After all, if their customers knew this, they could have easily bypassed its service and invested the money in Anchor themselves. The startup is now [being sued](#) by customers.

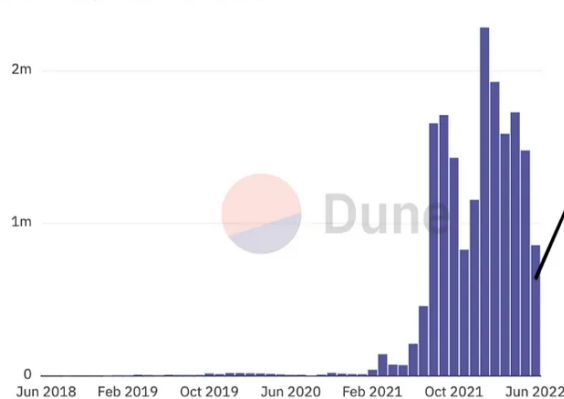
Crypto startups building on top of Anchor went bankrupt overnight. I talked with a software engineer working at a crypto startup which deposited all its funding in Anchor protocol. The company went bust thanks to the terraUSD and Luna crash, losing all of its capital in less than a day. The company had to shut down and lay off all employees, including this software engineer.

The crypto market trending down is hurting crypto exchange revenues. The terraUSD crash in early May was the start of what would be an increasingly bear crypto market, with almost all cryptocurrencies losing 50% or more of their value in the following weeks. With the steep drop in value, the revenue which crypto exchanges are earning is also down. A good example is the largest NFT marketplace.

OpenSea is the largest NFT (non-fungible token) marketplace where transactions are mostly settled in ETH (Ethereum). OpenSea is seeing a stable number of NFTs sold on the platform; around 1.4-1.6M per month. However, the fees OpenSea realizes on these

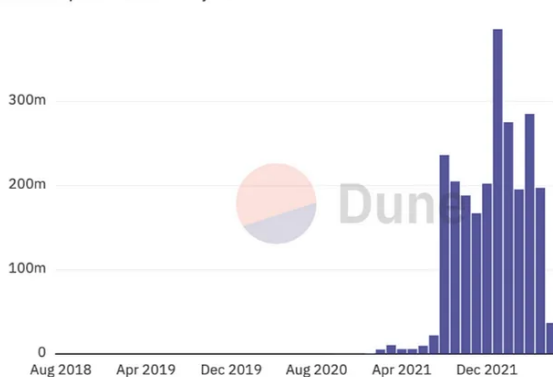
transactions are down from about \$200M a month, to about \$80M forecast for June, thanks to the drop in ETH prices:

OpenSea monthly NFTs sold (Ethereum)



Monthly NFTs sold:
on track to be the same
in June vs in May
(~1.4M)

OpenSea monthly fees (Ethereum)
Combined OpenSea and seller fees



Monthly OpenSea fees:
on track to be ~60% less
in June vs in May
(~80M vs \$200M)

Monthly NFT transactions and monthly fees on OpenSea, the market-leading NFT platform. Source: [Dune Analytics](#)

Such a drop in revenue would be bad news for OpenSea, which was valued at \$13.3B at its last fundraiser in January. We can also assume that similar drops are happening revenue-wise to most crypto trading platforms.

Other crypto trading platforms have announced layoffs. This is most likely due to revenue drops similar to what OpenSea is seeing, plus the gloomy outlook on the crypto market. Companies announcing layoffs include:

- **Gemini**, a crypto trading platform, announced it was laying off 10% of staff on Thursday, 2nd June.

- **Crypto.com**, a crypto trading platform announced it was letting go about 5% of its workforce (~260 people) on Friday, 10th of June. The company previously paid \$700M for the naming rights of a Los Angeles sports arena and ran the now infamous "Fortune Favors the Brave" [Superbowl ad](#) featuring Matt Damon. If someone bought Bitcoin for \$10,000 on the day the ad was aired in October 2021, they would have \$3,300 today, losing 67% on their investment to date.
- **BlockFi**, another cryptocurrency trading platform, announced it was laying off 20% of its workforce (~200 people) on Monday, 13 June.
- **Bitso**, a crypto exchange in Mexico, let go about 80 employees (10% of staff) at the end of May, as reported in [The Scoop #13](#).
- **BitMex**, another crypto exchange focused on derivatives, laid off 25% of its staff (~75 people) in early April this year.

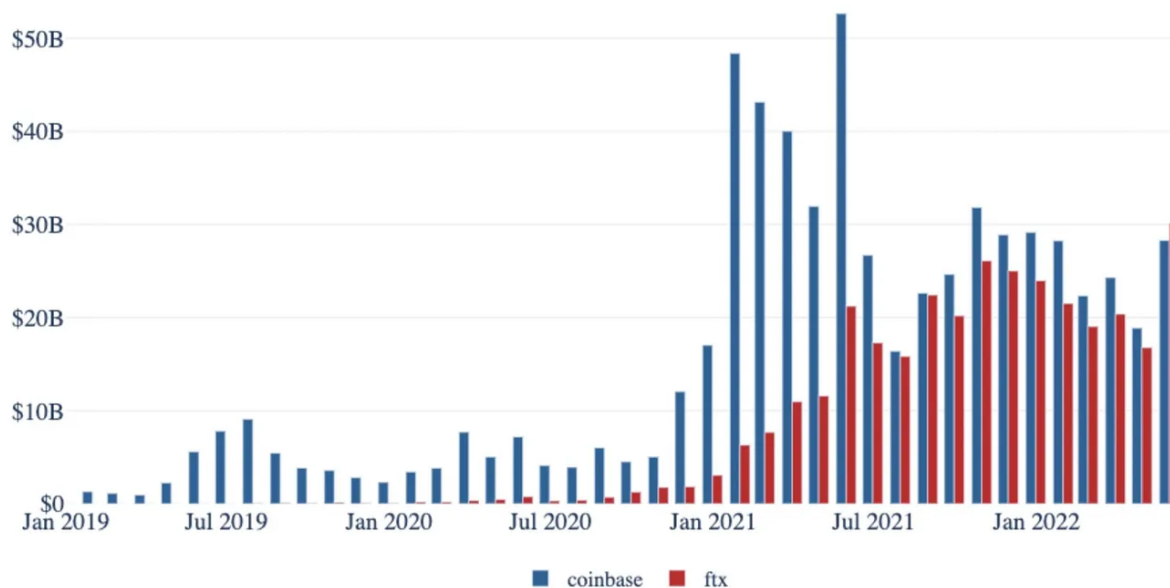
A few crypto exchanges, on the other hand, have noted that not only are they not laying off, but they are hiring. Binance, Kraken and FTX have all [announced that they are still hiring](#), likely using the layoffs in the crypto sector to help with these plans.

A lesson from crypto exchange FTX is that hiring slowly pays off when hitting a bear market, like now. The CEO of the company shared that in 2021, they had 200 employees and VCs were pressuring them to grow to 2,000 in a year. The CEO pushed back, and one year later, FTX still only has 300 employees.

On the other hand, Coinbase grew from about 1,250 employees in early 2021 to more than 5,000 before the recent layoffs. FTX operates with less than 10% of Coinbase's headcount. And yet, it's now doing more Bitcoin trading in volume than Coinbase:

Monthly BTC Spot USD Volume, Coinbase vs. FTX

Source: Coin Metrics Market Data Feed



Monthly Bitcoin volume on Coinbase and on FTX. FTX overtook Coinbase in volume by June 2022, despite being a fraction of the size of Coinbase headcount-wise.

Take the lesson that hypergrowth needs to mean not just fast headcount growth, but also fast revenue growth, from the CEO of FTX:

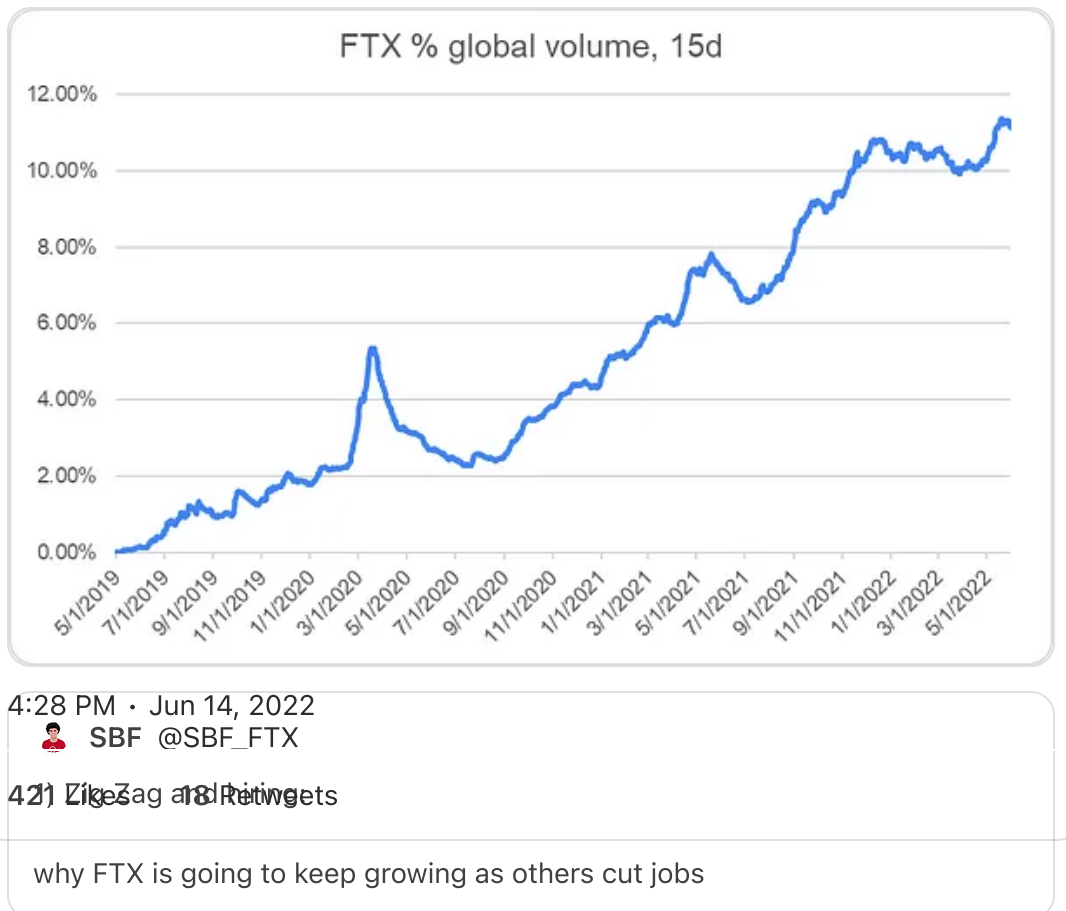


SBF
@SBF_FTX

We're at about 300 now, and growing, but sustainably--some come, some go, but we're increasing ~50% year over year.

Maybe we'll get to 400 in the next year.

But when it comes to hypergrowth, you can't replace 'growing revenue' with 'growing expenses'.



Layoffs roundup

In the past week, almost all layoffs were made by companies that mostly fell into one of these groups:

- **Companies that over-hired** and are making a loss. Wealhtsimple laying off 13% of staff – announced on Wednesday, 15 June – was a good example. The company grew from 300 employees 18 months ago, to more than 1,200. Now, it let go of 160 people as revenue did not grow as expected.
- **The need to extend the runway.** Loss-making, VC-funded companies which need to extend their runways. An example is OpenWeb – an identity startup that raised \$150M in November 2021 – [announced](#) layoffs in its R&D department. The company is effectively reducing compensation for R&D engineers by 20%, mandating a 4-day work week for 80% of the salary.
- **Loss-making, publicly traded companies.** Compass – a real-estate company – is such an example. The company is letting go 10% of its workforce (~450 people)

off the back of making a net loss of \$181M in Q1 2022, and having only \$476M left in cash: barely enough for the year at the current rate of losses.

Redfin is an example of layoffs done by a profitable company. Redfin realized a \$72M profit on revenues of \$597M in the first quarter of 2022. Still, the firm let go of 8% of its workforce (~470 people). Why would a profitable company lay people off?

In an unusually heartfelt [email sent to staff announcing the layoffs](#), the company shot straight and answered this question, as this extract from the email shows:

"I'm sorry to say that we're asking about 8% of our employees to leave Redfin today, or about 6% if you include the people of RentPath and Bay Equity. For the next few hours, managers will call the people leaving. When we're done with the calls, I'll send out a note. We'll host a brief all-hands meeting at 11 a.m. PDT to answer any questions, which you can submit via this form. Redfin will also announce the layoff to the public, posting this message to our blog.

Demand Is Off By 17%

To all the departing people who put your faith in Redfin, I'm sorry we can't keep our commitment to you. With May demand 17% below expectations, we don't have enough work for our agents and support staff, and fewer sales leaves us with less money for headquarters projects. (...)

I Said We Wouldn't Lay People Off Unless We Had To. We Have To.

A layoff is always an awful shock, especially when I've said that we'd go through heck to avoid one, and that we raised hundreds of millions of dollars so we wouldn't have to shed people after just a few months of uncertainty. But mortgage rates increased faster than at any point in history. We could be facing years, not months, of fewer home sales, and Redfin still plans to thrive. If falling from \$97 per share to \$8 doesn't put a company through heck, I don't know what does.

Where Do We Go From Here

Redfin will grow more slowly in a housing downturn, but we'll still grow, and our share gains will accelerate. The world will write us off, as it has before. What will be most painful is the effort some of you will have to go through to think of ourselves as a good employer. Part of being good is accepting when the company has fallen short of that, without forsaking our determination to do better. We have broken our commitment to our people, twice now in three years. We can't shrink from doing what's best for the whole company, not just one part of it, today and every day. But I'll spend the rest of my life wondering how I could've avoided these layoffs."

A strategy to attract more candidates

The continuous stream of layoff news, including at well-known companies, can be felt during the hiring process. I talked with three hiring managers last week, and they all shared that the most common question they get from candidates now is on the topic of layoffs. Candidates want to know how stable the company is, and have questions on this topic.

A strategy some hiring managers are experimenting with is adding profitability details to job ads. Hiring managers at companies that are profitable – and where this information can be made public – are now experimenting with injecting this detail into the job advert. These are people confident that their company will not only not lay off, but that will keep hiring. Of course, this detail is not information that can be put in an ad, but "profitable for the past X years" can be added..

If you work at a company that is profitable, consider using this record profitability to attract candidates.

As a hiring manager, prepare to address questions and concerns around layoffs.

The more honestly you can respond to such questions, the more trust you can build with candidates. There are few things better than if you can share details like revenue numbers and growth, runway projections, and other relevant details.

Takeways

Even though we continue to see a steady stream of layoffs, the good news is that these layoffs are somewhat predictable in where they occur. In large part, they are loss-making companies running out of cash in the current climate. As I explored in [The Scoop #13](#), it doesn't seem like we are seeing the number of tech job postings down, and it's "business as usual" at many companies.

This does not change that these layoffs are a shock to many people in tech I talk to: either because they are happening at their company, or at a company where a friend works. Unfortunately, we are in the middle of a market correction, and likely at the start of a longer-term economic downturn, and this can be felt within tech as well.

I hope to bring some more topics explicitly not about layoffs in the future issues of The Scoop. [Send me interesting or fun scoop](#) you've heard!

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